

Wholesale Banking – Penal Charges

Sr. No.	Nature of Default / Delay	Penal Charges applicable
1	Delayed/Non- Creation of Security / Non-compliance of condition as prescribed in sanction terms - beyond approved deferral period.	0.0055% per day on the facility amount availed across all funded and non-funded facilities. This would be charged on the Daily outstanding across all facilities.
2	Delay in submission of stock and book debt statements	0.0055% per day on Daily Outstanding CC/OD / WCDL balances. Applicable only on CC/OD / WCDL fund-based facilities.
3	Delay in repayments of term loans (Normal Interest & Principal Instalments)	0.0055% per day on amount of default (Principal + Interest). Covers both Short and Long tenor term loan facilities.
4	Overdrawings in CC/OD (Utilization above limits or DP whichever is lower)	0.0055% per day on excess utilization.
	Expiry of CC/OD limits	0.0055% per day on excess utilization.
	Inland Trade Finance Facilities (Bill / Invoice Discounting / Financing / Factoring)	0.0055% per day on the outstanding principal amount to be collected at time of regularization of overdue bill. Regular interest as per sanction to continue to be recovered till regularization date.
5	Pre-Payment	2% + GST of pre-paid amount on Term Loan facility
		<i>Not applicable for Supply Chain Finance Segment.</i>
6	Delay in Submission of End Use Certificate	0.0055% per day on the facility amount availed across all funded facilities. This would be charged on the Daily outstanding across all funded facilities.
7	Failure to top up collateral cover or reduce the exposure in line with collateral value.	0.0055% per day on the facility amount availed across all funded and non-funded facilities. This would be charged on the Daily outstanding across all facilities.

NOTE: Regular interest on funded facilities (including interest on unpaid interest at contracted rate) will continue to be levied as per sanctioned terms on all overdue facilities till regularized.